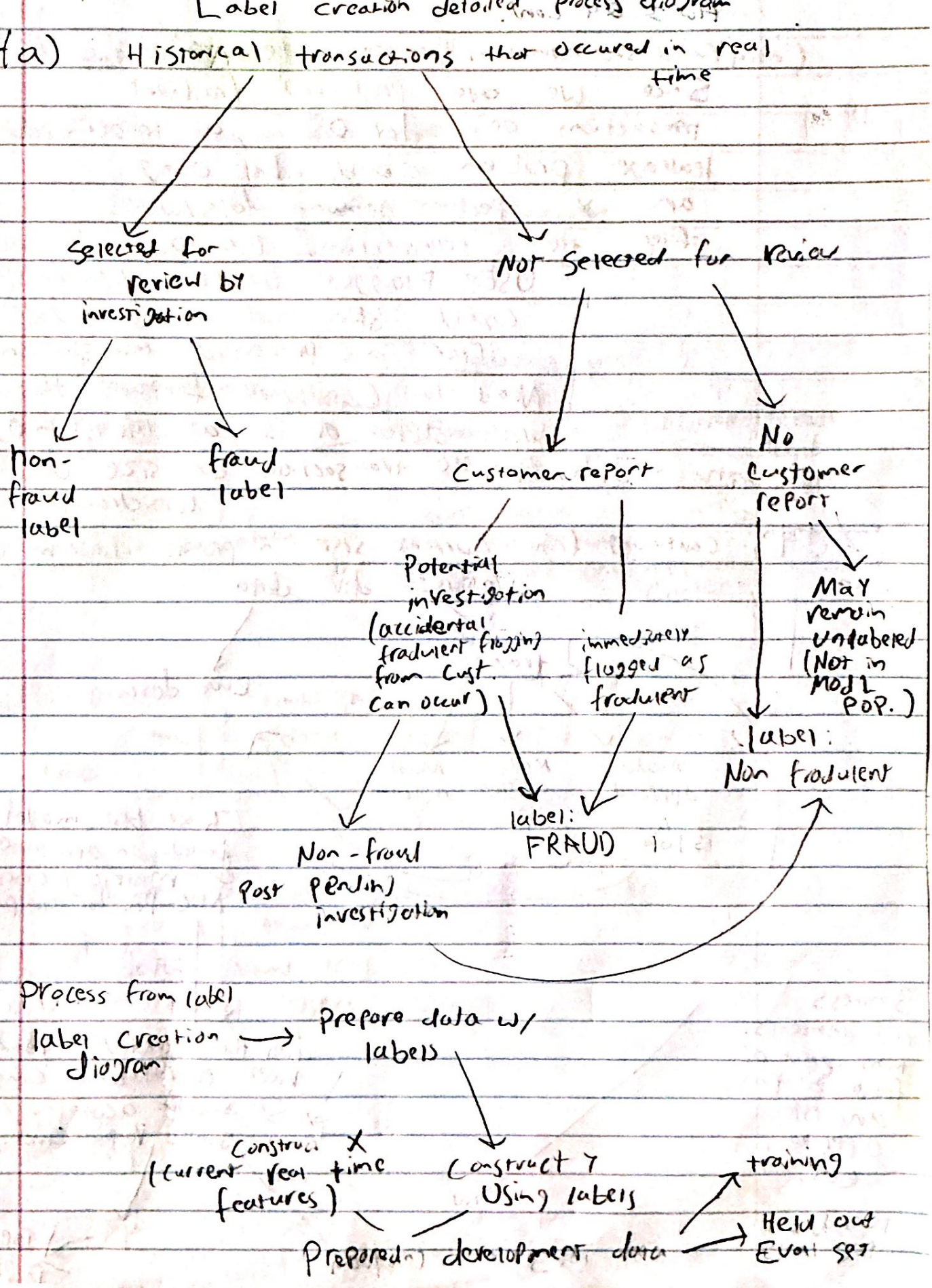
HW 1 Q4

4a) Label creation detailed process diagram



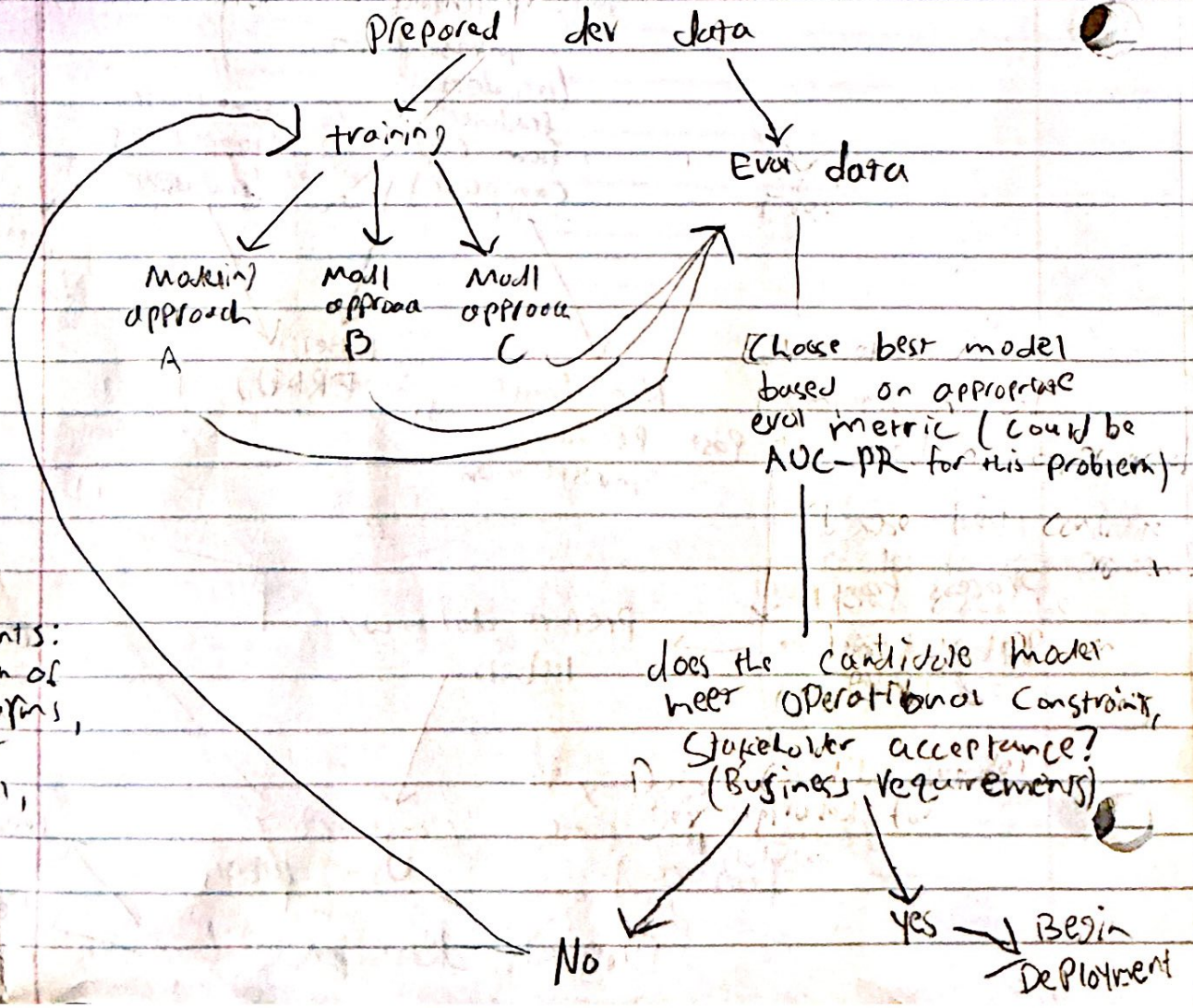
HW 3 Q4 cont.

Problems with target leakage

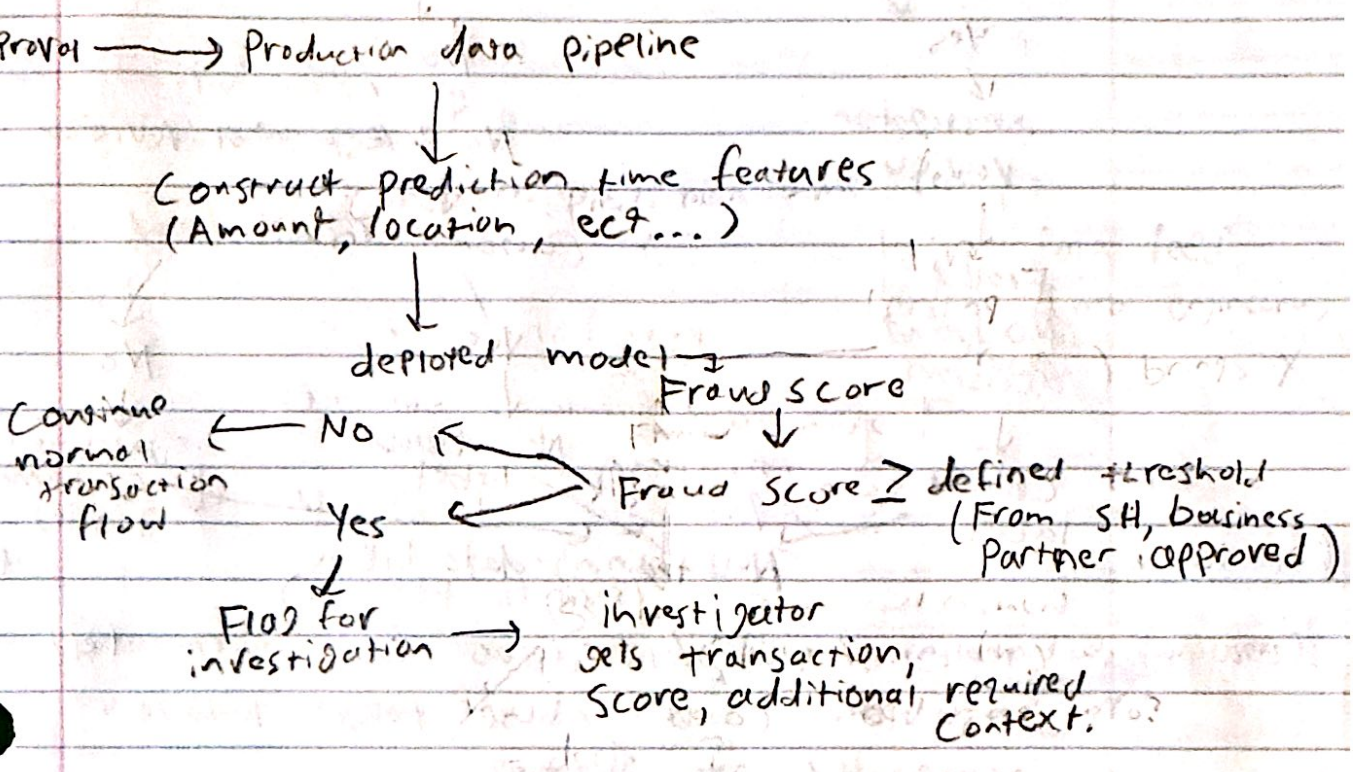
Since we are predicting fraudulent transactions on day 0, a target leakage problem could be using an X feature known days/weeks after the transactions. Example USER_Flagged binary indicator. Could show up as 3 days after a processed transaction.

- Need to configure features that will appear as is at the timing of the transaction, Ex size of withdrawl.

b) Continuing from current step in process diagram.



c) deployment Phase (Model passes all criterion)



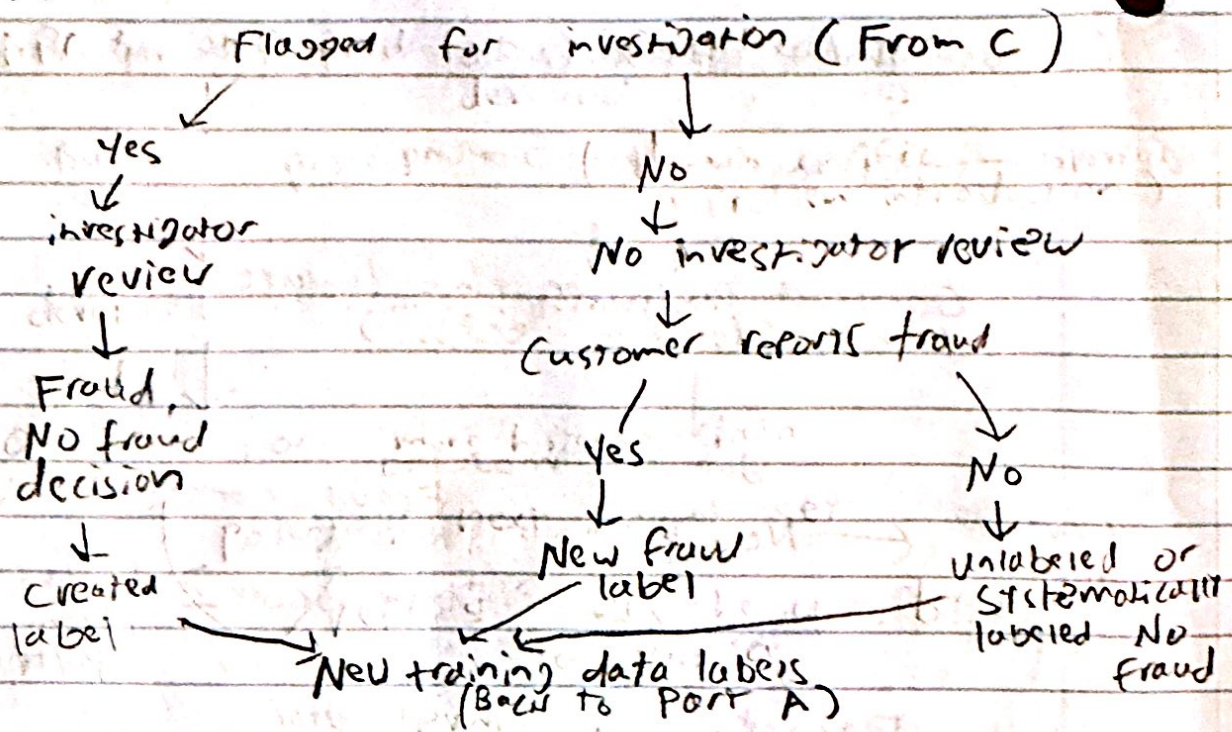
d) prediction - time information
transaction data, derived input features

Time ↓
Model output fraud score

Later information
1. actual outcomes, what actually happened to the
2. flagged transactions?
3. Collect ground truth information. - Decisions from investigators or model users (essentially outcome)

HW 1 Q4 cont.

e)



- Creating variables / indicators for investigated transactions could cause target leakage if incorporated into training

- Since the model influences which cases receive scrutiny, which affects how labels are discovered, then the model may have an influence on the future training data.